

How AI Innovations Are Transforming the IAM Market

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**Your next customer or
employee could be AI ...**



**Incumbent IAM approaches
do not work in this new reality.**



Good AI



Bad AI

Key Issues

1. How is AI redefining Identity?

2. How is AI shaping IAM?

**According to Microsoft Entra,
7,000 password attacks were
blocked per second over the past year.**

— [Microsoft Digital Defense Report 2024](#)

The Imperative for Change

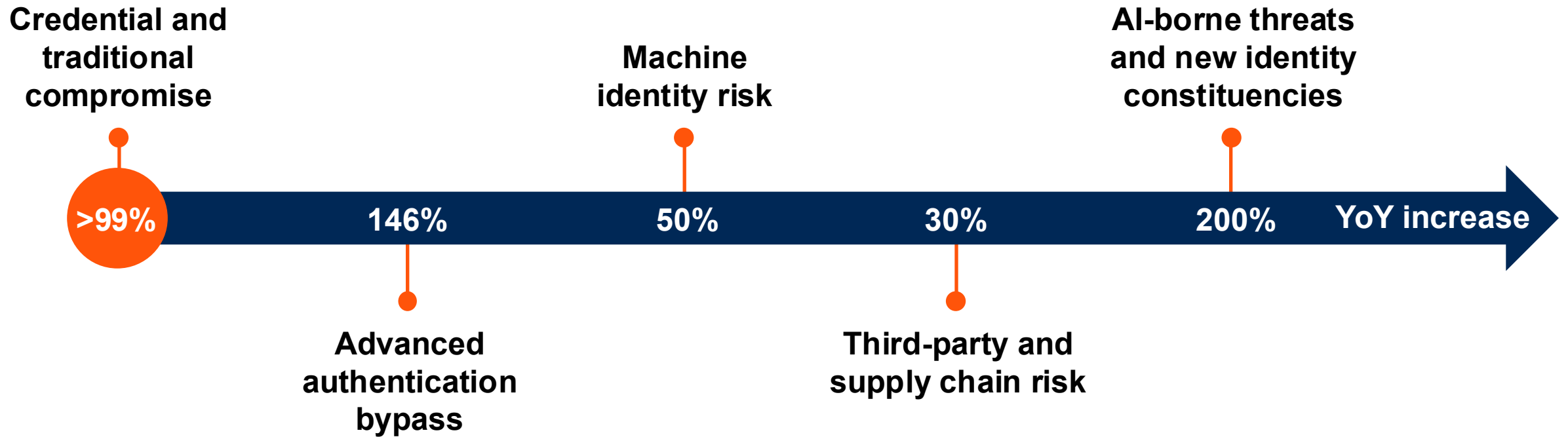
**Identity-first security is
the foundation for zero trust
in the age of AI.**

AI As an Attacker



Threatening the Trust Foundation

Impacting the Identity Attack Surface in Many Ways



Automated fraud and election interference are anticipated to see the biggest rises in the coming year.

**94% of organizations report an
increase in the number of
machine identities.**

Source: Gartner Machine Identity Management in a Hybrid, Automated AI World Survey

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**Uncertainty
and Complexity**

**Innovation and
Integration**



Need a total rethink as old ways cannot keep up with the speed of automated attacks.

Key Issues

1. How is AI redefining identity?

2. How is AI shaping IAM?

The AI Vendor Race Is Here

AI security race

By 2030, preemptive cybersecurity solutions will account for 50% of IT security spending, up from less than 5% in 2024.

Disruptive AI use cases

Through 2028, over 50% of AI initiatives will halt, becoming unmanageable, because of unresolved agentic identity challenges.

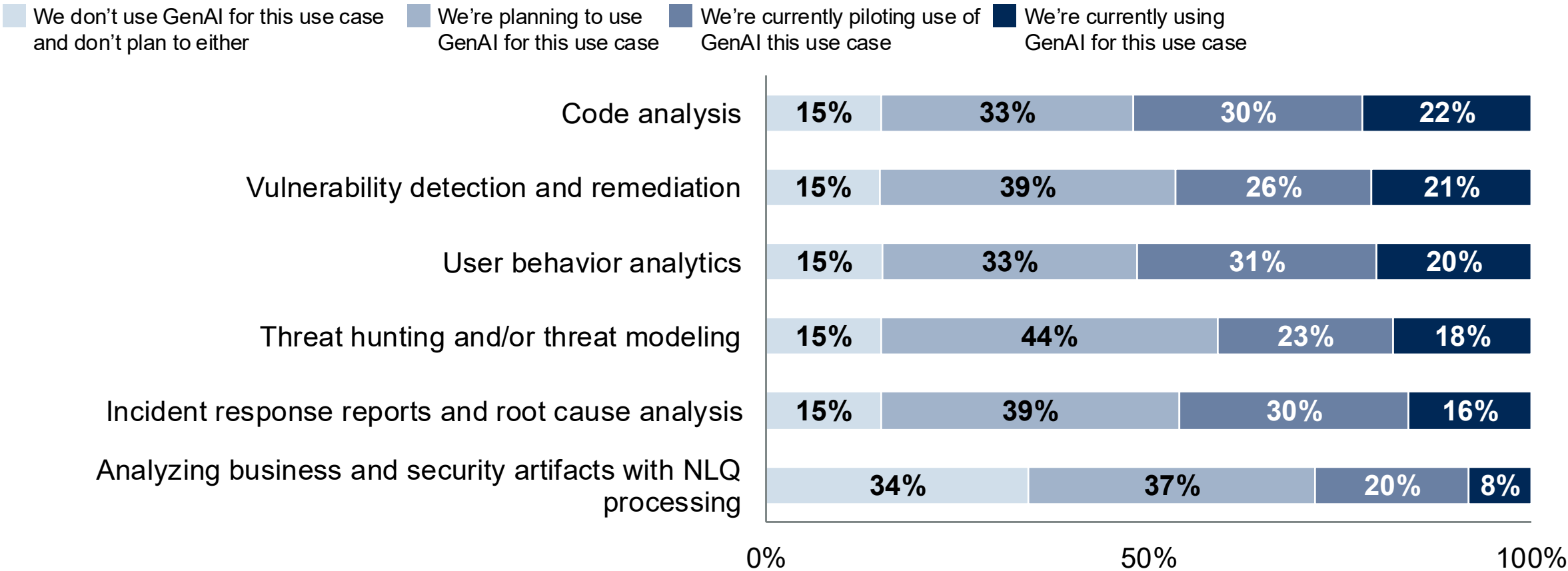
IAM vendors recalibrate

By 2027, more than half of newly deployed IAM capabilities will be delivered from a converged identity platform.

Where AI Is Also a Defender

GenAI for General Cybersecurity Use Cases

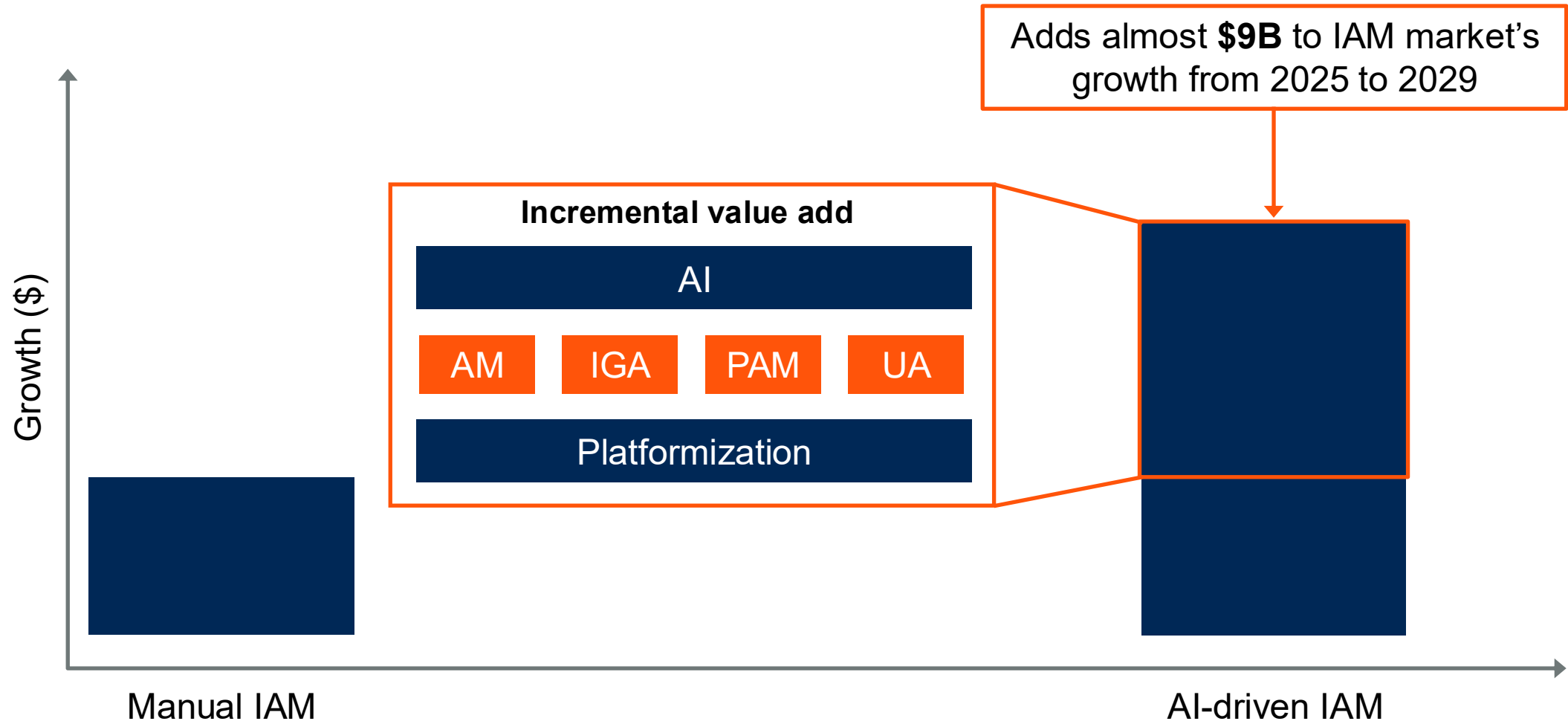
Percentage of respondents



n = varies; all respondents, excluding “unsure”
Q: How is your organization's cybersecurity function currently engaging with GenAI for the following general cybersecurity use cases?
Source: 2025 Gartner Cybersecurity Innovations in AI Risk Management and Use Survey

AI Is Adding to the IAM Market and Platform Shift

Illustrative



Source: [Competitive Landscape: Identity and Access Management Software](#)

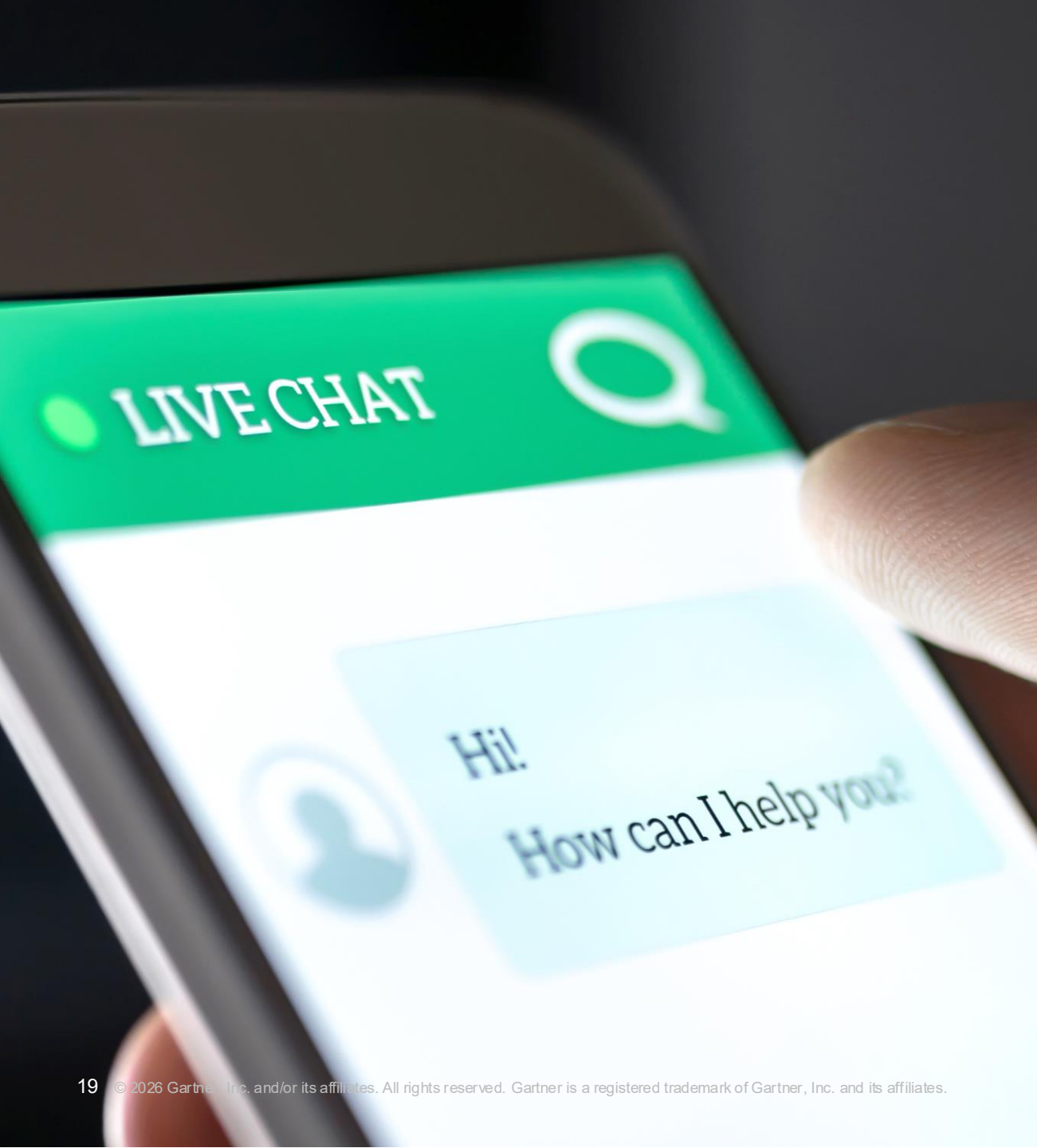


AI Innovations in Customer IAM

- Enabling real-time risk-based authentication
- Context-aware and fine-grained authorization

AI Innovation in Workforce IAM

- IAM administration
- Discovery, access for machines



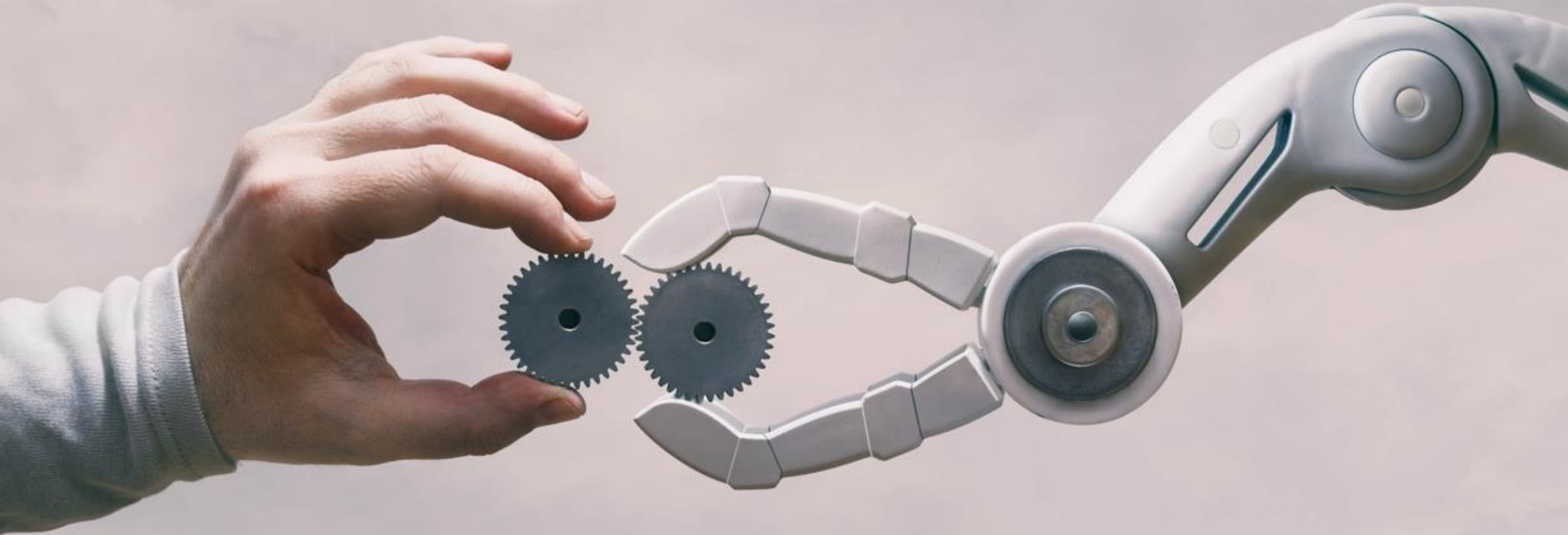
Sample AI-Driven Vendor Capabilities



Vendor	AI product name	Capability
CyberArk	CORAAI	Threat detection and admin chatbot
Microsoft	Security Copilot in Entra	Natural language insights and guided flows
Delinea	AIDA	Audit identity usage anomalies
Okta	Okta AI	Threat intelligence, risk evaluation and investigator
One Identity	Vigilance AI	User behavior analysis for risk-based authentication
EmpowerID	EmpowerNow AI	LLM agent orchestration for automation
Eviden	Orbion Assistant	Execute admin actions from natural language
Saviynt	Saviynt Intelligence	GenAI assistants for data analysis and requests

Source: [Competitive Landscape: Identity and Access Management Software](#)

How Do You Identify, Control and Apply Accountability to AI?



The Identity Gap Where Old Rule Books Do Not Work

Feature	Human employee	AI Agent
Identity	Employee ID	Workload/application ID
Life cycle	Joiner-mover-leaver	Dynamic
Auth	Biometrics, MFA	Keys, tokens
Authorization	Role-based	Attribute- and policy-based
Accountability	Management	Ownership and delegation
Compliance/regulatory	Audit/compliance	Observability

AI Agents Require Comprehensive and Dedicated IAM Frameworks



Governance



**Authentication/
authorization**



**Secure
ecosystems**



Observability

Act on behalf
of human users

Have their
own identities

Collaborate with
other agents

An Infinite Game That Has No Winner and **No End ...**

AI challenge

- AI-powered attacks
- Complex governance
- Reality alteration and fake identities

Emerging solutions

- AI-driven defense
- Securing AI agents
- Decentralized identity and verifiable credentials



**Is your organization ready
for these **new realities?****

Recommendations

- ④ Adopt an identity-first approach to security and establish support for machine identities in your IAM programs.
- ④ Evaluate the suitability of and transition toward comprehensive security platforms that offer unified IAM capabilities for efficacy and effectiveness.
- ④ Utilize an AI-augmented IAM for detecting real-time threats and delivering adaptive automated IAM administration.
- ④ Explore how you can address emerging use cases, such as IAM for AI agents, within your organization. Do this by first approaching your existing vendors and filling the gaps needed via specialized solutions.

Recommended Gartner Research

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- 🔍 [Competitive Landscape: Identity and Access Management Software](#)
Tarun Rohilla and Sean O'Neill
- 🔍 [IAM for LLM-Based AI Agents](#)
Homan Farahmand
- 🔍 [Generative AI for IAM](#)
Homan Farahmand
- 🔍 [Innovation Insight: AI Agents](#)
Tom Coshov, Erick Brethenoux and Others
- 🔍 [Investor Opportunities in IAM for AI Agents](#)
Tarun Rohilla and Frank Marsala